

8.	30-2023-01363497 Yang vs. California TD Specialists	1. Motion for Judgment on the Pleadings 2. Motion to Compel Further Responses to Form Interrogatories 3. Motion to Compel Further Responses to Form Interrogatories 4. Motion to Compel Production 5. Motion to Compel Production <u>Motion for Judgement on the Pleadings</u> Defendants James A. Stearman and Sandra M.K. Stearman, Trustees of the Stearman Trust UAD 11/19/87 (“Stearman Defendants”) move for judgment on the pleadings against the First Amended Complaint (FAC) of plaintiff Pi-Fang Yang, Trustee of the YPF Trust (“Plaintiff”). For the reasons set forth below, the Motion is DENIED in part and GRANTED in part with leave to amend. <u>First Cause of Action for Breaches of Contracts and Implied Covenant of Good Faith and Fair Dealing</u> Under this cause of action, Plaintiff alleges that Cal TD sold the subject property on behalf of other defendants. However, as the Court previously held with regard to Cal TD’s Demurrer to the FAC, there is no contractual relationship between the trustee and the purchaser of the foreclosed property. (<i>Pro Value Properties, Inc. v. Quality Loan Service Corp.</i> (2009) 170 Cal.App.4th 579, 583.) The FAC also does not suggest that any contract was entered into between Plaintiff and the Stearman Defendants. Thus, the Motion to the first cause of action is GRANTED with 20 days leave to amend. <u>Second Cause of Action for Negligence and Breach of Auctioneer’s Duties</u> The Stearman Defendants argue this cause of action fails because the Court recognized that it is barred by the privilege afforded to Cal TD by Civil Code section 2924(d). However, in the Court’s 11/21/24 Order, the Court overruled Cal TD’s Demurrer to this cause of action, as the allegations are sufficient to allege malice. Thus, this argument is rejected. The Stearman Defendants also argue that this claim fails because Cal TD owed Plaintiff no duty of care and it is barred by the economic loss rule. The Court rejected these same arguments in its 11/21/24 Order. The Stearman Defendants further argue that the FAC fails to the extent that Plaintiff is attempting to apply the doctrine of negligence per se based on a violation of Civil Code section 1812.600 because the doctrine cannot be used to establish a duty of care by reference to a statute. Instead, they argue, Plaintiff must allege the existence of a duty of care independent of section 1812.600. As discussed above, the Stearman Defendants’ arguments regarding no duty of care lack merit and Plaintiff has alleged the existence of an independent duty of care. Thus, this argument also fails. Thus, the Motion as to the second cause of action is DENIED. <u>Third Cause of Action for Conversion and Embezzlement</u> The Stearman Defendants again argue that the Court previously held that this action is barred by Civil Code section 2924(d). However, Cal TD’s Demurrer to the FAC was overruled. The Stearman Defendants alternatively argue that this claim fails because Plaintiff has not alleged that they substantially interfered with Plaintiff’s property or that any money was tendered to them. “ ‘The elements of a conversion claim are: (1) the plaintiff’s ownership or right to possession of the property; (2) the defendant’s conversion by a wrongful act or disposition of property rights; and (3) damages. . . .’ [Citation.]” (<i>Hodges v. County of Placer</i> (2019) 41 Cal.App.5th 537, 551.)
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Plaintiff alleges that Defendants concealed the true facts regarding the property and Plaintiff would not have purchased the property if those true facts were known. Plaintiff further alleges that Cal TD artificially and fraudulently increased the bid for the property and Plaintiff has sustained damages as a result by being deprived of the use and enjoyment of the property, unplanned tax liabilities, loss of income and profits, loss of equity, and costs in rehabilitating the title of the property.

The Stearman Defendants' arguments that this cause of action fails as to them because there is no allegation that any property was tendered to them for them to convert has merit. Plaintiff does not allege that the Stearman Defendants have wrongfully exercised dominion over any of Plaintiff's property. Thus, this cause of action is not sufficiently pled and the Motion to the **third cause of action** is **GRANTED with 20 days leave to amend**.

Fourth Cause of Action for Theft by False Pretenses

This cause of action is brought under Penal Code section 496(a) which states, in relevant part:

Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170.

With respect to Cal TD's prior Demurrer, the Court held that Penal Code section 496(a) does not apply to the facts alleged because the money received by Cal TD was not stolen or obtained by Plaintiff through a manner constituting theft or extortion and, therefore, Cal TD did not buy or receive any stolen property. Similarly, here, the FAC does not allege that the Stearman Defendants bought or received any property that had been stolen or obtained by theft or extortion. Thus, the Motion to the **fourth cause of action** is **GRANTED with 20 days leave to amend**.

Fifth Cause of Action for Quiet Title

The Stearman Defendants argue this cause of action is deficient because Plaintiff does not allege any competing claim of title to the subject property. This argument has merit. The FAC does not plead any facts showing that the Stearman Defendants have asserted any interest in the title to the subject property. Instead, Plaintiff only alleges that Cal TD sold Plaintiff the entire title of the subject property without any liens or encumbrances and Plaintiff is now entitled to complete title without the undisclosed liens and encumbrances. There are no facts alleged showing that the Stearman Defendants are asserting any interest or claim to the title of the property via those liens and encumbrances. Thus, the Motion to the **fifth cause of action** is **GRANTED with 20 days leave to amend**.

Sixth Cause of Action for Declaratory and Injunctive Relief

Under the sixth cause of action, Plaintiff seeks an order directing Defendants to convey to Plaintiff any and all interests in the subject property without any lien recorded against the title. The Stearman Defendants argue that this fails because the foreclosure sale has already occurred. "Declaratory relief operates prospectively to declare future rights, rather than to redress past wrongs. . . . Where, . . . , a party has a fully matured cause of action for money, the party must seek the remedy of damages, and not pursue a declaratory relief claim." (*Canova v. Trustees of Imperial Irr. Dist. Employee Pension Plan* (2007) 150 Cal.App.4th 1487, 1497.) Here, the Stearman Defendants' arguments are correct that Plaintiff's declaratory relief claim improperly seeks to redress past wrongs rather than address future rights between the parties.

Further, as the Court previously held, injunctive relief is a remedy, not a standalone cause of action. (*MaJor v. Miraverde Homeowners Assn.* (1992) 7 Cal.App.4th 618, 623.) Accordingly, the Motion to the **sixth cause of action** is **GRANTED with 20 days leave to amend**.

Moving party to give notice.

Motions To Compel (x4)

Plaintiff Pi-Fang Yang, Trustee of the YPF Trust (“Plaintiff”) moves to compel defendants James A. Stearman and Sandra M.K. Stearman, Trustees of the Stearman Trust UAD 11/19/87 (“Defendants”) to serve further responses to Plaintiff’s Demands for Production of Documents, Nos. 1-14, 18, 19, 22, 24-26, 33-36 and Form Interrogatories, Nos. 12.1, 15.1, 50.1, 50.2, 50.3, 50.4, 50.5, and 50.6.

Demands for Production

Defendants’ responses to each of the disputed demands states in part: “Responding Party will comply with this request, in whole, and produce all requested documents that are in the care, custody or control of Responding Party, pursuant to the protective order issued in this case.”

Plaintiff argues further responses are warranted because the responses imply that Defendants are withholding documents but no privilege log has been provided and, further, no documents have been produced. However, documents have now been produced and Defendants have not withheld any documents based on a claim of privilege or work product. (Declaration of Michael W. Stoltzman, Jr. ¶ 6.) Thus, the motions are **DENIED**.

Form Interrogatories

Plaintiff argues that Defendants’ Preliminary Statement is in violation of the Discovery Act and relevant case law. However, Plaintiff offers no legal authority in support of the argument that it must be stricken or is somehow improper.

Further, despite the fact that Defendants’ responses are prefaced with objections, it appears that Defendants’ responses are full and complete. There is no indication that any information has been withheld based on the asserted objections and Plaintiff’s arguments in support of further responses are not persuasive. For example, Plaintiff argues that the response to No. 12.1 is deficient because Defendants do not identify any individual or provide contact information for witnesses to the incident. However, Defendants’ responses identify all parties to this action as witnesses and indicate that they may be contacted through counsel. The responses further indicate that the identity of other witnesses are either unknown or identified in documents produced by Cal TD. Plaintiff’s contention that these responses are deficient has no merit.

As to the 50 series, which relates to any agreements alleged in the pleadings, Defendants responded with objections only based on, among other things, lack of relevance. Cal TD provided a virtually identical response to this series and the Court denied Plaintiff’s motion to compel further responses because the Court had sustained Cal TD’s demurrer to the breach of contract cause of action without leave to amend. Defendants argue that Plaintiff’s motion must again be denied.

As discussed with regard to Defendants’ Demurrer to the FAC, Plaintiff’s operative pleading does not adequately allege the existence of any contract between Defendants and Plaintiff. Because there is no viable cause of action for breach of contract as to Defendants, the 50 series of interrogatories are not relevant. Thus, the motions are **DENIED**.

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		<u>Meet and Confer</u> Plaintiff contends that no response to the 12/16/25 meet and confer letter was received. However, Defendants' counsel's declaration establishes that a response was emailed on 12/29/25. That email asked Plaintiff for further clarification on the asserted deficiencies in Defendants' responses. Thus, Plaintiff's contention that no response was ever received and that Plaintiff fully met and conferred in good faith appears to be without merit. As shown herein, Plaintiff's motions as to the FROGs have no merit. Further, while Plaintiff may have been right to file the motions as to the demands for production based on Defendants' failure to provide a document production before the motions were filed, Defendants' counsel's email in response to Plaintiff's meet and confer letter advised that the documents would be produced within the next few weeks. Defendants were not refusing to provide responsive documents and if Plaintiff had engaged in a reasonable and good faith attempt to resolve these issues before filing, these motions could have been avoided. Monetary sanctions may be imposed against Plaintiff for the failure to conduct a reasonable and good faith attempt to resolve the issues informally, even if Plaintiff's motions are successful. (Code Civ. Proc., § 2023.020 ["Notwithstanding the outcome of the particular discovery motion, the court shall impose a monetary sanction ordering that any party or attorney who fails to confer as required pay the reasonable expenses, including attorney's fees, incurred by anyone as a result of that conduct."].) Although some meeting and conferring was attempted, it does not appear Plaintiff made a reasonable attempt to resolve the issues raised in these motions informally. Although the court will not award sanctions against Plaintiff <i>at this time</i>, any future failure to fully comply fully with the meet and confer requirements may result in the granting of requested sanctions in the future. Moving party to give notice.
9.	30-2022-01296297 Atkins vs. TLH Enterprises, LLC	1. Motion to Compel Production Hearing CONTINUED to 08/27/26 at 1:30 pm in C34. ***This matter appears from the briefing to be before the discovery referee. If the referee rules on this issue, the hearing before the Court will be taken off calendar. (Please file a copy of the referee's report/ruling prior to the hearing date.) ***However, if this matter is <i>not</i> before the discovery referee, or if the referee determines they are not going to rule on this issue, THEN this hearing on 10/8/26 will move forward, and then any Opposition(s) (referred to in Plaintiff's reply brief ROA #817) must be filed with <i>this</i> court at least 9 days before the hearing. Plaintiff has already filed a Reply Brief, so no additional briefing will be accepted. Clerk to give Notice.